**(Answer: (i) Gross profit ratio 40% (ii) Net profit ratio 20%**
**(iii) Operating cost ratio 75% (iv) Operating profit ratio 25%)**

**19.** Following is the extract of balance sheet of Abdul Ltd., as on 31st March, 2019:

| Particulars | ₹ |
|---|---|
| **I EQUITY AND LIABILITIES** | |
| **1. Shareholders' funds** | |
| (a) Share capital | 2,00,000 |
| (b) Reserves and surplus | 50,000 |
| **2. Non-current liabilities** | |
| Long-term borrowings | 1,50,000 |
| **3. Current liabilities** | |
| (a) Trade payables | 1,30,000 |
| (b) Other current liabilities | 5,000 |
| (c) Short-term provisions | 20,000 |
| **Total** | **5,55,000** |

Net profit before interest and tax for the year was ₹ 60,000. Calculate the return on capital employed for the year.

**(Answer: Return on capital employed: 15%)**

CASE STUDY

Five friends each have ₹ 50,000 to invest. However, all five have different criteria for their investment decision. Fatima wants a high return on her investment. Thenmozhi wishes to invest in a company which performs well. Nivetha wishes to invest in a company which has good control over expenditure. Supraja is an ethical investor. She is concerned that the company's suppliers get their payment on time. Divya wishes to invest in a company with good liquidity position.

They wanted to compare three different companies' financial statements and calculate ratios.

Suggest each one the suitable ratios for their investment decision.

**To explore further**

Calculation of ratios may become difficult when more data are to be used. Is there any solution available for this?

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